ORAL ARGUMENT NOT YET SCHEDULED

No. 25-5181

UNITED STATES COURT OF APPEALS
FOR THE DISTRICT OF COLUMBIA CIRCUIT

Centro de Trabajadores Unidos, *et al.*,
Plaintiffs-Appellants,

v.

Scott Bessent, *et al.*,
Defendants-Appellees.

On Appeal from the United States District Court for the District of Columbia

No. 1:25-cv-00677-DLF

Hon. Dabney L. Friedrich

BRIEF OF APPELLANTS CENTRO DE TRABAJADORES UNIDOS, IMMIGRANT SOLIDARITY DUPAGE, SOMOS UN PUEBLO UNIDO, AND INCLUSIVE ACTION FOR THE CITY

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June 27, 2025

CERTIFICATE AS TO PARTIES, RULINGS, AND RELATED CASES, AND RULE 26.1 DISCLOSURE

Pursuant to Circuit Rule 28(a)(1) and Federal Rule of Appellate Procedure 26.1, the undersigned counsel certifies as follows:

A. Parties and Amici

Plaintiffs in the district court and appellants in this Court: Centro de Trabajadores Unidos; Immigrant Solidarity DuPage; Somos Un Pueblo Unido; Inclusive Action for the City. Defendants in the district court and appellees in this Court: Scott Bessent, in his official capacity as Secretary of the Treasury; Internal Revenue Service; Melanie Krause, in her official capacity as acting Commissioner of Internal Revenue, was named a defendant in the district court. William H. Long II has since been confirmed as the Commissioner of Internal Revenue and is an appellee in this Court by virtue of Fed. R. App. P. 43(c); Department of Homeland Security; Kristi Noem, in her official capacity as Secretary of Homeland Security; U.S. Immigration and Customs Enforcement; Todd M. Lyons, in his official capacity as acting Director of U.S. Immigration and Customs Enforcement.

The following amici appeared in the district court: 105 members of Congress, listed in the attachment to the certificate of parties, rulings, and related cases, and Rule 26.1 statement filed with this Court on May 29, 2025; Cambridge Economic Opportunity Committee and Community Economic Development Center of Southeastern Mass. American Oversight moved to intervene in the district court for the limited

purpose of seeking unsealing of judicial records. ECF 59. The district court denied intervention. Minute Order (May 12, 2025).

B. Rulings Under Review

Memorandum Opinion and Order, dated May 12, 2025 (ECF 67), issued by Judge Dabney L. Friedrich in No. 1:25-cv-677-DLF (D.D.C.).

C. Related Cases

This case has not previously been before this Court or any other court other than the district court from which this appeal was taken. Undersigned counsel is unaware of any other case that is related to this case.

Rule 26.1 Disclosure

Pursuant to Federal Rule of Appellate Procedure 26.1 and D.C. Circuit Rule 26.1, plaintiffs-appellants Centro de Trabajadores Unidos, Immigrant Solidarity DuPage, Somos Un Pueblo Unido, and Inclusive Action for the City state that they are nonprofit, non-stock corporations. They have no parent corporations, and no publicly traded corporations have an ownership interest in them.

Centro de Trabajadores Unidos, Immigrant Solidarity DuPage, and Somos Un Pueblo Unido are membership organizations devoted to promoting the interests of their immigrant worker members. Inclusive Action for the City is a certified Community Development Financial Institution that provides loans to underinvested communities, including immigrant entrepreneurs.

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GLOSSARY

APA	Administrative Procedure Act
DHS	Department of Homeland Security
DOJ	Department of Justice
ICE	U.S. Customs and Immigration Enforcement
IRS	Internal Revenue Service
ITIN	Individual taxpayer identification number
MOU	Memorandum of Understanding

INTRODUCTION

Immigrants not authorized to work in this country are legally compelled to file federal tax returns and pay taxes on the income that they earn. The Internal Revenue Service (IRS) is required by law to keep the information furnished by taxpayers confidential—including from immigration authorities and other law enforcement agencies—except under the tightly circumscribed circumstances in 26 U.S.C. § 6103 where Congress has authorized limited disclosure.

One such circumstance is when law enforcement seeks access to information provided by someone other than the taxpayer to support a criminal investigation or proceeding, but not for other purposes, such as to aid in this case the civil enforcement of the immigration laws. When complying with a valid request for such information, the IRS may release to the investigating agency the name and address of the taxpayer to which the information pertains. But if a law enforcement agency seeks information furnished by the taxpayer, it is required to make an individualized showing to a judge and to get the court's sign-off before the IRS can lawfully disclose the taxpayer information. By statute, information disclosure by the IRS in response to criminal inquiries has functioned this way for fifty years.

President Trump's prioritization of civil immigration enforcement has upended settled law and policy governing information disclosure at the IRS. Removing undocumented immigrants requires locating them. IRS databases contain the addresses of millions of taxpaying immigrants—information that the Department of Homeland Security

(DHS) and its subagency U.S. Immigration and Customs Enforcement (ICE) can use to carry out the administration's immigration enforcement agenda. The IRS and DHS therefore cut a deal, under which the IRS would share taxpayer addresses with ICE on a mass scale, without ICE first obtaining court approval.

Appellants are organizations that serve immigrant communities, which include undocumented workers who pay taxes in reliance on the privacy protections that Congress and the IRS have assured them would prevent repurposing of their tax information for immigration enforcement. Appellants brought this action after reports surfaced that an information-sharing deal between the IRS and DHS was in the works. While briefing on a motion for a preliminary injunction was underway, the IRS and DHS entered into a memorandum of understanding (MOU) that declares DHS to be criminally investigating "numerous" immigrants for overstaying their removal orders. The purported purpose of the MOU is to assist criminal investigations of overstays of removal orders by ICE. The MOU authorizes the IRS to turn over immigrant taxpayers' addresses to ICE without the need for a court order. Once the IRS shares taxpayer information with ICE, there is no feasible way to prevent irreparable harm from ICE's use or misuse of taxpayer addresses to carry out civil immigration enforcement.

In denying Appellants' motion for a preliminary injunction, the district court held that ICE does not need a court order to obtain taxpayers' addresses and that the IRS acted reasonably in entering into an MOU that disrupts decades of IRS practice. This Court should reverse.

Importantly, although the district court's decision will result in immediate harm to taxpaying immigrants and their families, its implications extend to all taxpayers—including citizens—who have relied on federal assurances of confidentiality. If the court's reasoning stands, federal law enforcement will have carte blanche to misuse IRS address data that taxpayers are legally compelled to reveal to engage in mass surveillance of taxpayers' whereabouts—a result inconsistent with the text, structure, and history of the confidentiality protections of the Internal Revenue Code.

JURISDICTION

The district court has statutory jurisdiction over this action under 28 U.S.C. § 1331. This Court has jurisdiction over the district court's denial of Plaintiffs-Appellants' motion for a preliminary injunction under 28 U.S.C. § 1291(a)(1).

QUESTION PRESENTED

Whether the district court erred in denying Appellants' motion for a preliminary injunction to prevent the IRS from sharing confidential taxpayer information with DHS and ICE in violation of the confidentiality provisions of the Internal Revenue Code.

STATUTORY PROVISIONS

Pertinent statutory provisions are set forth in an addendum to this brief.

STATEMENT OF THE CASE

A. Statutory and regulatory framework

1. Individuals who work in the United States are required by law to pay federal income taxes and to file tax returns with the IRS. 26 U.S.C. §§ 1, 6012. A taxpayer's failure to comply with these obligations can result in monetary penalties. *Id.* § 6651. A willful attempt to "evade or defeat" federal taxes can result in a fine of up to $100,000 and five years in prison. *Id.* § 7201.

Some individuals who work and earn income in the United States are immigrants who are not legally authorized to be present and work in this country. "As a general rule, it is not a crime for a removable alien to remain present in the United States." *Arizona v. United States*, 567 U.S. 387, 407 (2012). Instead, immigrants not authorized to remain in the country face the risk of being removed from the United States pursuant to civil enforcement actions under federal immigration laws. 8 U.S.C. § 1227.

SUMMARY OF ARGUMENT

The district court erred in denying Appellants' motion for a preliminary injunction to prevent the IRS from sharing confidential taxpayer address information with DHS and IRS pursuant to their MOU. Appellants are likely to succeed on their arguments that the disclosure of taxpayer addresses under the MOU is not authorized by section 6103(i)(2) and that the IRS's decision to change its interpretation of that provision was arbitrary and capricious.

I. The statutory text, structure, and legislative history of section 6103(i) confirm that Congress did not intend to permit disclosure of taxpayer addresses as the sole object of a law enforcement request under section 6103(i)(2). Section 6103(i)(2) requires a requesting agency seeking information to support a criminal investigation to furnish the IRS with the taxpayer's name and address to obtain other information from tax records about the taxpayer. As the IRS has recognized, the requirement that a section 6103(i)(2) request must include the taxpayer's address signals that such a request cannot seek only the taxpayer's address. The statutory history of section 6103(i)(2) confirms this reading.

STANDARD OF REVIEW

"A plaintiff seeking a preliminary injunction 'must establish that he is likely to succeed on the merits, that he is likely to suffer irreparable harm in the absence of preliminary relief, that the balance of equities tips in his favor, and that an injunction is in the public interest.'" *Changji Esquel Textile Co. v. Raimondo*, 40 F.4th 716, 721 (D.C. Cir. 2022) (quoting *Winter v. NRDC*, 555 U.S. 7, 20 (2008)). This Court reviews "the district court's denial of a preliminary injunction for an abuse of discretion, its legal conclusions de novo, and its factual findings for clear error." *Trump v. Thompson*, 20 F.4th 10, 23 (D.C. Cir. 2021).

ARGUMENT

I. Section 6103(i)(2) may not be used solely to obtain taxpayer address information from the IRS.

When Congress enacted section 6103(i)(2) in 1976, it carefully distinguished between taxpayer return information, which law enforcement could obtain only through a court order, and return information obtained by the IRS from sources other than the taxpayer, which the IRS must disclose upon receiving a valid request from law enforcement agencies actively pursuing criminal matters. In 1978, Congress enacted a narrow exception that permitted the IRS to disclose a taxpayer's name and address in response to a valid section 6103(i)(2) request. The 1978 amendment did not reduce taxpayers' privacy rights because section 6103(i)(2) requires the requesting agency to already have—and to provide the IRS with—a taxpayer's name and address to submit a valid request in the first place. If a law enforcement agency seeks taxpayer-furnished information that it does not have—such as a taxpayer's current location as reflected in his or her tax filings—section 6103(i)(1) protects taxpayer confidentiality by requiring a court order before the IRS may disclose that information.

CONCLUSION

The district court's denial of Appellants' motion for a preliminary injunction should be reversed.

June 27, 2025

Respectfully submitted,

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CERTIFICATE OF COMPLIANCE

This document complies with the type-volume limitations of Fed. R. App. P. 32(a)(7)(B) because, excluding the parts of the document exempted by the Federal Rules of Appellate Procedure and this Court's rules, this document contains 1,312 words, as calculated by my word processing software.

This document complies with the typeface requirements of Fed. R. App. P. 32(a)(5) and the type-style requirements of Fed. R. App. P. 32(a)(6) because this document has been prepared in a proportionally spaced typeface, 14-point TeX Gyre Schola, using Microsoft Word 365.

/s/ Nandan M. Joshi
Nandan M. Joshi

CERTIFICATE OF SERVICE

I hereby certify that, on June 27, 2025, the foregoing document was served through the Court's ECF system on counsel for all parties.

/s/ Nandan M. Joshi
Nandan M. Joshi